KERALA STATE ELECTRICITY REGULATORY COMMISSION
THIRUVANANTHAPURAM

Petition No: OP 04/2025

Present	:	**Sri. T.K. Jose, Chairman** **Adv. A. J. Wilson, Member** **Sri. B. Pradeep, Member**
In the matter of	:	Petition filed by M/s Technopark for the Truing up of Accounts for the financial year 2023-24
Petitioner	:	M/s Technopark, Trivandrum
Represented by	:	Sri. Viswanathan N, Deputy Manager (Finance) Sri. Anfal, Deputy Manager (Electrical)
Respondent	:	M/s Kerala State Electricity Board Limited
Represented by	:	Sri. Rajesh R, Asst. Executive Engineer, KSEB Ltd Smt.Biji Christudas , Asst. Executive Engineer, KSEB Ltd
Date of Hearing	:	05.03.2025

ORDER DATED 16.09.2025

1. M/s Technopark, Thiruvananthapuram, is a deemed distribution licensee for distribution of electricity in the Technopark campus. M/s. Technopark has four licence areas namely (1) Technopark Phase I, (2) Technopark Phase II & III, (3) Technocity Pallippuram and (4) Technopark Kollam.

2. The Commission had notified the KSERC (Terms and Conditions for Determination of Tariff) Regulations, 2021 for the five-year Control Period starting from the first day of April 2022 and ending on the thirty first day of March 2027. M/s Technopark has filed the petition for truing up of accounts for the year 2023-24 as per the provisions of the KSERC (Terms and Conditions for determination of Tariff) Regulations 2021. The present petition is for the second year of the Control Period. The Commission vide Order in OP No.12/2023 dated 28.02.2024 has approved the ARR&ERC for the Control Period. In the present petition for truing up the accounts for 2023-24, the licensee has claimed a revenue surplus of Rs.328.09 lakh compared to revenue surplus of Rs.359.84 lakh approved by the Commission in the Order on ARR&ERC. A comparison of the claim made in the present petition with the ARR&ERC approved by the Commission is tabulated below.

Table 1
Comparison of ARR & ERC and Truing Up for 2023-24 (Rs. Lakh)

Particulars	ARR & ERC Projected	ARR & ERC Approved	Petition for truing up
Cost of power purchase/ generation	6296.10	5919.11	5549.13
Employee Expenses	57.06	28.35	60.02
Administration and General	117.37	37.69	95.36
Repairs and Maintenance	431.84	331.51	503.62
Depreciation	171.89	142.60	82.38
Interest on long term loans	3.32	7.87	-
Interest on consumer deposits	89.54	76.11	123.65
Return on Net Fixed Assets	41.20	21.07	90.04
Total Expenditure/ARR	**7208.32**	**6564.31**	**6504.21**
Revenue from sale of power	6766.84	6766.84	6683.88
Non-tariff income	91.09	157.31	148.43
Total Revenue / ERC	**6857.93**	**6924.15**	**6832.31**
Net Revenue Surplus/(Deficit)	**(350.39)**	**359.84**	**328.09**

Table 2
Comparison of Income and Expenditure for the previous years **(Rs. lakh)**

Particulars	2021-22		2022-23		2023-24
	Truing Up Petition	Trued Up	Truing Up Petition	Trued Up	Truing Up Petition
Purchase of Power	3494.83	3443.50	4652.88	4606.04	5549.13
Employee Cost	50.11	43.03	54.54	27.82	60.02
R&M Expenses	404.85	329.87	447.65	402.43	503.62
A &G Expenses	92.03	62.95	92.05	36.99	95.36
Depreciation	162.68	142.60	162.45	75.43	82.38
Prior period item (Excess depreciation allowed)	-	-	-	(162.56)	-
Interest and finance charges on long term loans	24.96	7.87	8.96	8.50	-
Interest on consumer security deposits etc	98.80	98.80	72.70	72.70	123.65
Prior period item (adjustments of interest on normative loan)	-	-	-	15.61	-
Return on NFA	53.08	21.07	86.60	35.95	90.04
Prior period item (Excess RoNFA allowed)	-	-	-	(14.23)	-
Total Expenditure	**4381.34**	**4149.69**	**5577.83**	**5104.68**	**6504.21**
Revenue from Sale of Power	4317.28	4317.28	5750.11	5750.11	6683.88
Non-Tariff Income	83.67	162.14	78.09	167.38	148.43
Total Income	**4400.95**	**4479.42**	**5828.20**	**5917.49**	**6832.31**
Net Surplus/(Deficit)	**19.61**	**329.73**	**250.37**	**812.81**	**328.09**

3. The Commission admitted the petition as **OP No. 04/2025.**

Hearing on the Petition

4. The hearing on the petition was conducted at the Court Hall, Office of the Commission on 05-03-2025. The petitioner, M/s Technopark was represented by Sri. Anfal - Deputy Manager (Electrical) and Sri. Viswanathan – Deputy Manager (Finance) and other officers of the licensee. Sri. Anfal, presented the details of the petition on the truing up of accounts for the year 2023-24. The important submissions made by Technopark during the hearing are: -

   a) The petitioner has served a total of 964 consumers in financial year 2023-24 and the sale during the year is 744.05 lakh units.
   b) The distribution loss for the year is 4.06%.
   c) The power purchase cost for 771.75 lakh units purchased from KSEB Ltd is Rs.5549.13 lakh. The licensee has generated 3.81 lakh units from the six rooftop solar plants with total capacity of 355.50 kW.
   d) The Employee Cost of Rs.60.02 lakh includes the salary and benefits paid to the permanent employees of Technopark directly involved in the distribution business activity.
   e) The A&G Expenses of Rs.95.36 lakh claimed by the licensee includes Payment of Rs.41.41 lakh towards Electricity Duty under Section 3(1) of the Kerala Electricity Duty Act 1963.
   f) The R&M Costs for the year is Rs.503.62 lakh which is the cost for operation, maintenance and repairs of the distribution system carried out by licensed electrical contractors and the work was awarded after a due transparent process of competitive bidding.
   g) There is a capital expenditure of Rs 402.94 lakh during the ye
   h) The depreciation claimed by the licensee in the petition for truing up for the year 2023-24 is Rs.82.38 lakh.
   i) The interest and finance charges claimed by the licensee for the year 2023-24 amounts to Rs.123.65 lakh which includes only interest on consumer security deposit.
   j) The licensee claimed Return on Net Fixed Assets amounting to Rs.90.04 lakh worked out at 5.50% on the NFA of Rs.1637.13 lakh at the beginning of 2023-24.
   k) The revenue earned from sale of power was Rs.6683.88 lakh and the Non-tariff income is Rs.148.43 lakh.
   l) Accordingly, the total Income towards Revenue from sale of power and Non-Tariff receipts for the year 2023-24 is Rs. 6832.31 lakh and the total expenditure is Rs.6504.21 lakh. Thus, the licensee has claimed a revenue surplus of Rs.328.09 lakh.

5. KSEB Limited, the power seller Licensee to Technopark, vide letter dated 04-03-2025 furnished the following counter statement/remarks on the truing up petition for the year 2023-24 filed by Technopark.

   a) Compared to approved value, the distribution loss is higher, which is not prudent. To approve the distribution loss within the approved limits.
   b) To limit the O&M expenses within the norms specified as the O&M expense is higher than the approved ARR norms and allow the O&M expense only after prudence check.
   c) To take a uniform approach regarding Section 3(1) duty as the same is claimed by Technopark.
   d) Funding for capital expenditure is not clear. As the capital investment plan is under review by the Hon'ble Commission, approval may be granted after a prudence check
   e) Depreciation for the year may be allowed only after prudence check.
   f) RoNFA may be allowed only after verifying the details with regard to asset addition.
   g) The interest on accumulated surplus need to be treated as part of non-tariff income.
   h) The purchased units and the power purchase cost tally with the records of KSEB Ltd.

6. The licensee vide letter dated ETPK/FIN/KSERC/2025-26/788 dated 20.06.2025 submitted clarification to the queries sought by the Commission, counter to the comments of KSEB Ltd.

Analysis and decision of the Commission

7. The Commission has carefully considered the petition for Truing Up of Accounts for the year 2023-24, the counter statements furnished by the KSEB Ltd and the views presented by the licensee during the hearing, the additional clarifications and counters submitted by the licensee subsequently. The analysis and decisions of the Commission on the petition for truing up of accounts for the Financial Year 2023-24 are detailed below.

Energy sales and consumer mix

8. The licensee in the petition has submitted area wise details of the number of consumers and sales. During 2023-24, there were a total of 964 consumers compared to 933 consumers in the previous year 2022-23. The total energy sale as per the petition for Truing Up of Accounts for 2023-24 is 744.05 lakh units. The actual sales unit for the previous year 2022-23 was 643.34 lakh units. A comparison of the actual sale of power and category wise number of consumers for the year 2022-23 and 2023-24 is given below.

Table 3
Comparison of Energy Sales and number of Consumers for 2022-23 and 2023-24

	2022-23		2023-24	
Particulars	**Number of consumers**	**Sales (Lakh Units)**	**Number of consumers**	**Sales (Lakh Units)**
LT – IV B IT/ITES below 10kW	220	10.93	208	11.85
LT – IV B IT/ITES above 10kW up to 20kW	74	7.01	65	8.45
LT – IV B IT/ITES above 20kW	238	249.31	239	260.90
LT - VI (A) General	2	0.39	2	0.36
LT VI (B) General	9	0.59	9	0.71
LT VI (c) General (1ph or 3 ph)	33	2.38	33	2.46
LT VI (F) General (1 ph)	51	0.68	58	0.82
LT VII (A) Commercial (1-Ph)	50	0.44	50	0.53
LT VI (F) General (3 ph)	125	22.86	172	41.96
LT VII (A) Commercial (3-Ph)	57	3.77	51	5.09
LT VII (B) Commercial	11	0.02	11	0.04
LT IV A Industrial below 10 KW	6	0.22	6	0.23
LT IV A Industrial above 10 KW below 20 KW	4	0.38	4	0.60
LT IV A Industrial above 20 KW	7	2.82	7	3.14
LT VI (G) General	1	0.07	1	0.05
LT IX Display Lighting and Hording	2	0.08	2	0.05
LT-X Electric Vehicles Charging stations	-	-	1	0.25
Self-Consumption	2	2.74	3	3.38
Street Lighting	18	1.46	18	1.41
Sub Total (LT)	**910**	**306.15**	**940**	**342.29**
HT -I (B) IT & IT Services	17	313.82	18	356.39
HT -II (A) General	2	13.98	2	14.11
HT II B	3	5.40	3	26.81
HT- IV Commercial	1	3.99	1	4.45
Sub Total (HT)	**23**	**337.19**	**24**	**401.76**
Grand Total	**933**	**643.34**	**964**	**744.05**

8. The major sale of the licensee is to LT IV B and HT I B category of consumers. As compared to last year there is an increase in the number of consumers as well as the sales units. The increase is mainly due to new consumers in LT VI (F) category. The total energy sold to these consumers was 744.05 lakh units in FY 2023-24 compared to 643.34 lakh units in FY 2022-23. ***After analyzing the details and duly considering the consumption pattern, the Commission hereby approves the actual energy sales of 744.05 lakh units as claimed in the petition for Truing Up of Accounts for the year 2023-24.***

Energy Requirement and Distribution loss

9. As per the petition, the total energy requirement for the year is 775.56 lakh units, which is inclusive of energy purchased from KSEB Ltd 771.75 lakh units and 3.81 lakh units from the solar plant. The actual distribution loss for the year is 4.06% as against the distribution loss of 3.35% approved by the Commission in the Order on ARR&ERC. As compared to the previous year 2022-23 the actual

distribution loss has decreased from 4.42% to 4.06%. The details of the distribution loss as per the petition and previous year are as shown below.

Table 4
Distribution loss for the period 2022-23 and 2023-24

Particulars	2022-23		2023-24
	As per Truing Up Petition	Trued Up	As per Truing Up Petition
Energy sales (lakh units)	643.34	643.34	744.05
Energy Requirement (lakh units)	673.07	666.33	775.56
Distribution loss (lakh units)	29.73	22.99	31.51
Distribution loss (%)	**4.42%**	**3.45%**	**4.06%**

10. The licensee has submitted the phase wise distribution loss of the licensee. The phase wise distribution loss for the year 2022-23 and 2023-24 is as given below.

Table 5
Phase wise Distribution loss for 2023-24

Particulars	Solar Generation (lakh unit)	Energy purchase (lakh unit)	Energy Sales (lakh unit)	Distribution Loss (lakh unit)	Loss (%)
Phase -1	0.237	462.69	440.79	22.14	4.78%
Phase - 2&3	3.326	257.16	253.37	7.12	2.73%
Phase-4 Technocity	0.242	46.36	44.75	1.84	3.96%
Phase-5 Kollam	0	5.54	5.14	0.41	7.32%
Overall Losses	**3.81**	**771.75**	**744.05**	**31.51**	**4.06%**

Table 6
Phase wise Distribution loss for 2022-23

Particulars	Solar Generation (lakh unit)	Energy purchase (lakh unit)	Energy Sales (lakh unit)	Distribution Loss (lakh unit)	Loss (%)
Phase -1	0.157	432.09	410.41	21.84	5.05%
Phase - 2&3	3.240	212.75	209.75	6.25	2.89%
Phase-4 Technocity	0	18.58	17.19	1.39	7.49%
Phase-5 Kollam	0	6.24	5.99	0.25	4.04%
Overall Losses	**3.40**	**669.67**	**643.34**	**29.73**	**4.42%**

11. The losses are less than that of the previous year. The loss in all campuses had decreases except Kollam Campus (Phase-IV). With regard to high distribution loss, the licensee has stated the following;

    i. *Technopark Kollam campus has not reached expected load levels.*
    ii. *Transformer operates under low-load conditions, causing increased losses.*
    iii. *Increased no-load and load losses amplify the percentage loss figures.*
    iv. *Some current transformers (CTs) on the campus have low accuracy.*
    v. *Certain meters may be inaccurately recording energy flow, affecting loss calculations.*

12. Distribution loss is a controllable parameter as per Tariff Regulations, 2021. Regulation 73(3) clearly specifies the methodology to be considered to account for any variation between the actual level of distribution loss and the approved level of the distribution loss. The relevant portions of the Regulation are as shown below:

73. Distribution loss...
.....

(3) Any variation between the actual level of distribution loss and the approved level of the distribution losses shall be dealt with, as part of the truing up of the respective financial year in the following manner: -

i. if the actual distribution loss is higher than the approved level of distribution loss for any particular financial year of the control period, then the quantum of power purchase corresponding to the excess distribution loss for that financial year shall be disallowed at the average cost of power purchase for the respective financial year;

ii. if the actual distribution loss is lower than the approved level of distribution loss for any particular financial year of the control period, then the savings in the power purchase cost corresponding to the difference in distribution loss for that financial year at the average cost of power purchase for the respective financial year, shall be shared between the distribution business/licensee and the consumers in the ratio of 2:1

13. Accordingly, as per the provisions of the Tariff Regulations, distribution loss is a controllable performance parameter. As per regulation 73(3) of the Tariff Regulations, 2021, if actual distribution loss is higher than the approved level, the quantum of power purchased corresponding to the excess distribution loss shall be disallowed at the average power purchase cost. ***The Commission hereby decides to limit the distribution loss to the approved level of 3.35% for the purpose of truing up. The licensee is directed to take effective measures to limit the distribution loss at the approved level. Accordingly, based on the approved distribution loss, the approved energy requirement for the year 2023-24 is tabulated below.***

Table 7
Distribution loss approved for the year 2023-24

	Particulars	As per Truing Up Petition	Trued Up
A	Total Energy Output (lakh units)	744.05	744.05
B	Distribution loss (%)	4.06%	3.35%
C	Distribution loss (in lakh units) [A/100-B)*B]	31.51	25.79
D	Total Energy Requirement (lakh units)	775.56	769.84
E	Energy Generated from Solar	3.81	3.81
F	Energy Required from KSEB Ltd (lakh units)	771.75	766.03
Excess Distribution Loss in lakh units (771.75 - 766.03)			**5.72**

Solar Generation

14. The petitioner has six rooftop solar plant of total capacity 355.5 kW and generated about 3.81 Lakhs units of electricity (kWh) as compared to 3.40 lakh units in previous year. During FY 2023-24, two new plants were commissioned; 15.5 kW Plant over the roof of the Electric Vehicle Charging Station in Technopark Phase-I Campus on 03-06-2023 and another 35-kW rooftop plant in Technocity campus on 13-10-2024. The solar generation from the six plants and the corresponding Capacity Utilisation Factors (CUF) is given below.

Table 8
Details of Solar Generation over the years

Particulars	2021-22		2022-23		2023-24	
	CUF Achieved	Units Generated	CUF Achieved	Units Generated	CUF Achieved	Units Generated
200 kWp	16.58 %	290475	12.78%	223883	14.70%	231223
50 kWp	15.28 %	66940	15.05%	65923	16.70%	65967
25 kWp	16.62 %	36408	15.63%	34224	18.00%	35393
10 kWp	18.12 %	15869	17.91%	15693	5.20%	4134
15.5 kWp	-	-	-	-	19.50%	19601
35 kWp	-	-	-	-	17.80%	24198
Total Generation		409692		339723		380516
	4.10 lakh units		**3.40 lakh units**		**3.81 lakh units**	

** CUF = Yearly Generation x 100 / (Plant Capacity x 24 x 365)*

15. The licensee has stated that the inverter and power conditioning unit (PCU) of the 10 kW solar plant were under repair. The solar power plants at Technopark were installed during 2018-19 and the installed panels are of the polycrystalline type with a panel efficiency of 16-17% only which is stated to be the reason for lower generation. The licensee also stated that the number of sunny days and solar irradiation can significantly affect solar generation. The licensee is to note that the CUF of the solar plants are lower than levels specified in Regulation 54(3) of Kerala State Electricity Regulatory Commission (Renewable Energy and Net Metering) (First Amendment) Regulations, 2022. As per regulation, the Capacity Utilization Factor for Solar PV project shall be 19%. The licensee is directed to properly verify the reasons for the reduction in generation and to make necessary steps to maximize the generation.

Power Purchase Cost

16. As per the petition, the total energy required for serving the consumers was 755.56 lakh units for the year 2023-24. The petitioner generated about 3.81 lakh units of electricity from the four rooftop solar plants of total capacity 285 kW. The balance requirement of 771.75 lakh units was met from the energy purchased from the State Electricity Utility, KSEB Ltd at a total cost of Rs. 5549.13 lakh as against approved Rs. 5919.11 lakh. The average per unit cost of power purchase was Rs. 7.19/unit for 2023-24. As compared to the previous year, the

actual power purchase cost has been increased. The split up of power purchase cost for the year 2023-24 and previous year is tabulated below.

Table 9
Phase wise power purchase cost for the period 2023-24

Campus	Maximum demand kVA	Energy Received lakh units	Fixed charges Rs lakh	Variable charges Rs lakh	Incentive Rs. lakh	Other charge Rs. lakh	Total charge Rs. lakh
Phase-1	1,38,255	462.69	536.77	2,804.90	(42.07)	7.26	3,306.86
Phase -2 & 3	68,862	257.16	285.12	1,560.25	(26.72)	7.37	1,826.03
Phase -4 Technocity	12,794	46.36	51.24	281.08	-	29.27	361.58
Phase -5 Kollam (2)	3,600	5.54	14.76	37.45	(0.57)	3.02	54.66
Total	**2,23,511**	**771.75**	**887.90**	**4,683.68**	**(69.37)**	**46.92**	**5,549.13**
Average Power Purchase Cost (Rs /per unit)							**7.19**

Table 10
Phase wise power purchase cost for the period 2022-23

Campus	Maximum demand kVA	Energy Received lakh units	Fixed charges Rs lakh	Variable charges Rs lakh	Incentive Rs. lakh	Other charge Rs. lakh	Total charge Rs. lakh
Phase-1	1,35,000	432.09	500.25	2,541.91	(38.48)	0.00	3,003.68
Phase -2 & 3	55,158	212.75	205.00	1,252.55	(19.78)	0.00	1,437.77
Phase -4 Technocity	9,076	18.58	33.64	109.81	-	11.83	155.28
Phase -5 Kollam (2)	3,600	6.24	14.17	41.35	(0.36)	1.00	56.16
Total	**2,02,834**	**669.67**	**753.05**	**3,945.62**	**(58.62)**	**12.83**	**4,652.88**
Average Power Purchase Cost (Rs /per unit)							**6.95**

17. As mentioned in previous paragraphs, as per the Tariff Regulations 2021, if the actual distribution loss is higher than the approved level of distribution loss, then the quantum of power purchased corresponding to the excess distribution loss shall be disallowed at the average cost of power purchase. ***Accordingly, the power purchase cost based on the approved distribution loss of 3.35% for the year 2023-24 is as shown below.***

Table 11
Approved power purchase cost for 2023-24

1	Actual distribution loss (In lakh units)	31.51
2	Approved distribution loss (In lakh units)	25.79
3	Excess distribution loss (lakh units) (1-2)	5.72
4	Average Power Purchase Cost (Rs. per unit)	7.19
5	Excess power purchase cost to be disallowed (Rs. lakh) (4) * (3)	41.13
6	Actual Power purchase cost (Rs. lakh)	5,549.13
7	**Approved Power purchase cost (Rs. lakh) (6-5)**	**5,508.00**

Operation & Maintenance Expenses

18. Operation and Maintenance expenses are controllable expenses which include Employee cost, Repair & Maintenance expenses and Administrative & General expenses. The Commission while approving the ARR & ERC for the control period had approved the O&M expenses as per the normative level and had stated that any additional expenses relating to uncontrollable factors or one-time expenses can be considered at the time of Truing Up of accounts only after prudence check by the Commission. The Commission while approving the norms in the Tariff Regulations, 2021 had approved the Operation and Maintenance expense of Rs.397.55 lakh for 2023-24. The licensee in the petition has claimed total operation and maintenance expense of Rs.659.00 lakh. The comparison of O&M expenses with the previous year is tabulated below.

Table 12
Comparison of O&M expenses (Rs. lakh)

O&M Expenses	2022-23			2023-24	
	Norms	As per Truing Up Petition	Trued up	Norms	As per Truing Up Petition
Employee expenses	27.14	54.54	27.82	28.35	60.02
R&M expenses	317.37	447.65	402.43	331.51	503.62
A&G expenses	36.09	92.05	36.99	37.69	95.36
Total	**380.60**	**594.24**	**467.24**	**397.55**	**659.00**

Employee cost

19. The actual employee cost claimed by the licensee in the petition is Rs. 60.02 lakh as against the approved norms of Rs. 28.35 lakh. The actual employee cost is higher compared to the norms. The major items booked under Employee Cost are Consolidated pay, salaries, dearness allowances, HRA, other allowance etc. The employee cost claimed for the previous year 2022-23 was Rs. 54.54 lakh. The Commission while truing up had approved an amount of Rs. 27.82 lakh. The split up details and a comparison of the employee cost for the current year 2023-24 and previous year 2022-23 is shown below.

Table 13
Comparison of Employee cost (Rs. lakh)

Particulars	2022-23	2023-24
	Truing Up claim	Truing Up claim
Basic Salary	17.24	19.66
Dearness Allowance (DA)	6.21	7.08
House Rent Allowance	0.59	0.76
Other Allowances (CCA)	0.11	0.14
Personal Pay	-	1.99
Arrears	-	0
Consolidated Pay	30.39	30.39
Grand Total	**54.54**	**60.02**

20. The licensee for the distribution business has claimed the employee cost on apportionment basis. The ratio for apportionment and the employee cost is tabulated below.

Table 14
Apportionment of Employee Cost for 2023-24

Designation	Posts	Gross Salary Rs.lakh	Ratio	Apportioned Salary Rs.lakh
Chief Executive Officer	1	43.60	10%	4.36
Chief Finance Officer	1	23.52	20%	4.70
GM (Projects)	1	21.44	25%	5.36
Deputy Manager (Electrical)	1	12.53	100%	12.53
Deputy Manager Finance	1	18.87	40%	7.55
Sr. Executive Finance	1	4.97	75%	3.72
Apprentice Trainee	1	2.70	50%	1.35
Jr. Electrical Engineer	1	4.19	100%	4.19
Supervisors/Meter readers	4	20.28	75%	15.21
Civil Engineer	1	4.19	25%	1.05
Total		**156.29**		**60.02**

21. It is seen that the employee cost claimed in the petition is Rs. 60.02 lakh. The Commission has examined the details furnished by the licensee and the claim in the Truing up of accounts as per the provisions of the Tariff Regulations, 2021. As per the Tariff Regulations, 2021, the licensee shall be allowed to recover the operation and maintenance expenses as per the norms specified in Annexure-7 of Tariff Regulations for each financial year of the Control Period. The Annexure-7 of Tariff Regulations 2021 specifies, the base year (2021-22) norms as per Table-9 and approved norms (Fifth Table under para 3(iii) of Annexure-7) of the O&M expenses of Technopark. The details are given below.

Table 15
O&M Expenses as per the Tariff Regulations, 2021 (Rs. lakh)

Particulars	Base year	Control period				
	2021-22	2022-23	2023-24	2024-25	2025-26	2026-27
Employee Cost	25.99	27.14	28.35	29.61	30.93	32.31
R&M Expenses	303.84	317.37	331.51	346.28	361.70	377.81
A&G Expenses	34.55	36.09	37.69	39.37	41.13	42.96
Total	**364.37**	**380.60**	**397.55**	**415.26**	**433.76**	**453.08**

22. The paragraph-1 of the Annexure-7 of the Tariff Regulations, 2021 specifies inflation rate adopted for tariff determination for the Control Period from 2022-23 to 2026-27. Further, the 'Note' to the paragraph-1 to Annexure-7 permits that, the actual inflation will be allowed at the stage of truing up for the respective years. The relevant provisions of the Regulations, 2021 is stated below.

"Methodology adopted for specifying the Normative Operation & Maintenance (O&M) Costs for the 5-year Control Period (2022-27)

1. The O&M costs consist of:
   - *Employee cost;*
   - *Administrative & General (A&G) expenses; and*
   - *Repair & Maintenance (R&M) costs.*

The annual inflation/ escalation rate under the Control Period (2018-22) was fixed at 4.84% based on the CPI (Industrial workers) & WPI indices in the weightage ratio 70:30, for the 4-year period (2013-14 to 2016-17). Considering the 5-year MYT period in this Regulation and the subdued performance of the economy in the year 2020-21 due to the 'Covid 19' pandemic; it is proposed to fix the annual escalation factor for the 5-year MYT Control Period (2022-23 to 2026-27) as follows: -

a) *The average of the increase in the CPI & WPI indices, for the 4 year period (2017-18 to 2020 -21), as given in Table- 1 below:*

Computation of Escalation Factors for this MYT Regulation

Sl.No	***Escalation factors/ year***	***2017-18***	***2018-19***	***2019-20***	***2020-21***
1	*CPI (Industrial Workers) 2001=100*	*284.42*	*299.90*	*322.50*	*338.69*
2	*Annual CPI increase %*	*3.08*	*5.44*	*7.54*	*5.02*
3	*WPI (2011-12) series*	*114.90*	*119.80*	*121.80*	*123.40*
4	*Annual WPI increase %*	*2.96*	*4.26*	*1.67*	*1.31*
5	*CPI:WPI (70:30) weightage (%)*	*3.04*	*5.09*	*5.78*	*3.91*
6	*Average 4 Year annual increase* ***@ 70:30 weightage (%)***	***4.454%***			

Note:

The Commission notes that there have been severe fluctuations as far as the inflation indices are concerned. Further, due to the outbreak of COVID 19, and the overall depressing economic situation faced by all major industries in the country, the offtake of electricity during this period has considerably reduced and there is a glut as far as the electricity market is concerned.

However as of now, the economy seems to be on a path of revival and the increase in oil prices have also added to the overall inflation in the economy. Hence, the Commission feels that any data of past indices may not completely reflect the true economic situation in the country and its inflationary trends and therefore is of the opinion that, for the purpose of ARR&ERC for the Control Period, it would be advisable to rely on historical inflation data for the previous four years. But, the actual escalation rates based on the actual inflation existing for each year of the Control Period shall be considered at the time of the truing up of the concerned financial year and would be a more reliable basis. Hence, the actual inflation indices will be allowed at the stage of truing up for the respective years."

23. Accordingly, as discussed in the preceding paragraphs and as specified under Annexure-7 of the Tariff Regulations, 2021, the base year O&M expenses for the Year 2021-22 is Rs. 364.37 lakh. The average escalation rate approved by the Commission for the Control Period from 2022-23 to 2026-27 based on the average of the 'consumer price index and wholesale price index' is 4.454%. By applying the escalation rate of 4.454% on the O&M expenses of the base year 2021-22, the O&M Expenses for 2023-24 is Rs. 397.55 lakh. However, the Note to the paragraph-1 to the Annexure-7 of the Tariff Regulations, 2021 provides that, the escalation rates based on the actual inflation indices shall be adopted for approving the O&M expenses while truing up of the respective years. The actual inflation rate of the year 2023-24 is 3.14%.

24. Based on the actual escalation of 3.14% in the year 2023-24, the revised O&M expenses of Technopark is approved by the Commission considering actual inflation as given below;

Table 16
Revised O&M expenses of Technopark approved for the year 2023-24 considering Actual Inflation (Rs. lakh)

Particulars	2022-23	Control Period- 2023-24	
	Approved norms	Actual inflation	O&M Approved
Employee Cost	27.82	3.14%	**28.69**
R&M Expenses	325.29	3.14%	**335.50**
A&G Expenses	36.99	3.14%	**38.15**
Total	**390.10**		**402.34**

25. ***The Commission hereby approves the employee expenses of Rs.28.69 lakh based on actual inflation rate for the year 2023-24. Further the licensee stated that they have incurred Rs.1.99 lakh towards interim relief for the year 2023-24. As interim relief is paid in lieu of pay revision, the Commission is inclined to approve the same over and above the norm. Thus, the Commission hereby approves Rs.30.68 lakh (Rs.28.69 lakh + Rs.1.99 lakh) towards employee cost for the year 2023-24 as against the licensee's claim of Rs.60.02 lakh.***

Table – 17
Employee cost approved for the year 2023-24 (Rs lakh)

Particulars	As per Regulations	As per Truing Up Petition	Trued Up
Employee Cost	28.35	60.02	30.68

R & M Expenses

26. The actual R&M expense claimed by the licensee in 2023-24 is Rs.503.62 lakh as against the normative amount of Rs. 331.51 lakh specified in Tariff Regulations, 2021. The licensee has stated that the R&M of the distribution system in Technopark license area is carried out by licensed electrical contractors. The contract is awarded after a due transparent process of

competitive tendering as per the existing rules and government directions. The tenders for R&M works are invariably invited through the government e-tendering portal. Thus, it is ensured that the contract amount discovered is the lowest possible price.

27. During the previous year, the claim was Rs.447.65 lakh. The Commission after prudence check and considering the provisions of the regulations had approved Rs. 402.43 lakh. The comparison of the R&M expense of current petition and previous year is tabulated below:

Table 18
Details of R&M expenses for the years 2022-23 and 2023-24 (Rs. lakh)

Particulars	2022-23		2023-24
	As per Truing Up Petition	Trued up	As per Truing Up Petition
Phase-1 (Plant & Mach Only)	269.29	*Approved a total of **Rs. 402.43 lakh** based on actual inflation rate of 7.06% for the year 2022-23 and also one-time expenses*	320.96
Phase 2 & 3 (do)	68.25		69.23
Phase -5 Kollam (do)	32.97		32.22
Phase 4 Technocity (do)	30.38		56.14
Material and Spares Purchased	11.16		1.37
One-Time / Break-down works carried out	35.60		23.70
Gross R&M Expenses	**447.65**	**402.43**	**503.62**

28. Compared to the previous year, there is an overall increase of 12.50 % in R&M cost. The overall increase is inclusive of new distribution area under Phase-IV in Pallippuram which amounts to Rs 56.14 lakh. The licensee in the petition states that the R&M contracts were awarded after a fair and transparent process of on-line tendering where there were a fair number of competitive bids for the contract and that there is little scope for reducing these costs. There is no way to compensate for the substantial gap between the actual R&M cost genuinely incurred and that allowed in the ARR. The licensee also stated that this difference in cost does not in any way reflect any defect or inefficiency on the part of the petitioner. The cost incurred is the lowest discovered through transparent bidding. The licensee has submitted the phase wise split up of R&M cost for the period 2023-24 which is shown below.

Table 19
Phase wise split up of R&M for the period 2023-24

Campus	Contractor	From	To	Contract Value (Rs)
Phase-I Kazhakuttam	Fathima Engineering	01/07/2020	30/06/2023	7,93,16,774
Phase I Kazhakuttam	Fathima Engineering	01/07/2023	31/08/2023	55,38,186
Phase I Kazhakuttam and Phase -IV Kabani	Ideal Datacom Network	01/09/2023	31/08/2026	13,01,51,604
Phase III Kazhakuttam	Geresh Electricals	01/08/2022	31/07/2025	1,24,18,800
Phase III & IV 110 kV SS	Sterling and Wilson	01/01/2022	31/12/2024	1,80,53,836
Phase V - Kollam	ABM Electricals	01/11/2022	31/10/2025	1,05,05,712

29. The licensee further stated in their petition that, the methodology adopted by the Commission for specifying the normative O&M costs for the Distribution licensees other than KSEB is arrived at based on the actual/approved expenses in the previous control period and by applying escalation factor. The licensee also stated that application of average escalation factors for arriving at the cost in the Regulation does not reflect the reality and broadens the gap between the real and approved costs. The licensee requested the Commission to consider the fact that the R&M contracts were awarded after a fair and transparent process of on-line tendering where there were a fair number of competitive bids for the contract and that there is little scope for reducing these costs. There is no way to compensate for the substantial gap between the actual R&M cost genuinely incurred and that allowed in the ARR. The licensee also stated that the Commission may please note that this difference in cost does not in any way reflect any defect or inefficiency on the part of the petitioner. The cost incurred is the lowest discovered through transparent bidding. The petitioner is legally bound to claim the contracted amount that was discovered through transparent bidding process. The licensee also requested the Commission to allow them to meet the actual expenses in this respect.

30. The Commission noted that as per 80 (3) of the Tariff regulations, 'Any one time operation and maintenance expenditure of a special nature not in the form of routine repair and maintenance, if any, if required and is undertaken by the distribution licensee, expenses for such maintenance may be allowed by the commission after prudence check, considering the circumstances, details and justification furnished by the Distribution business/licensee for incurring such an expenditure, to the satisfaction of the Commission. This provision allows onetime expenses incurred, not in the nature of regular R&M expenses. ***Considering this, the Commission hereby approves the one-time repair and maintenance charges of Rs. 23.70 lakh together with the cost of material and spares amounting to Rs. 1.37 lakh purchased for the same in addition to the norms as claimed by the licensee.***

31. The Commission also notes that the new campus at Pallippuram, Technocity was commissioned in 2019-20 whereas the norms for O&M expenses were fixed based on trued up figures of 2018-19. As such, the O&M expenses for the Pallippuram, Technocity are not reflected in the norm. The licensee submitted that Rs.56.14 lakh has been spent towards R&M expenses of Pallippuram Technocity. During the previous year the claim was Rs.30.38 lakh. The licensee has clarified that the Technopark Phase-IV came under the scope of R&M activities starting from October 2022. Thus during 2022-23, only five months' expenses (from October 2022 to March 2023) were accounted for. During this

initial phase, a limited number of operations and maintenance staff were deployed, as the substation was servicing only a few companies. For FY 2023-24, the R&M expenditure reflects a full year of operations. Additionally, from September 2023 onward, the O&M contract for the Kabani substation was awarded through an e-tendering process to a new contractor. This transition resulted in an increase in staffing levels and associated salary costs, contributing further to the rise in overall R&M expenses. The Commission considers this and is of the opinion to allow these expenses over and above the norm. ***Therefore, the Commission approves Rs.56.14 lakh as R&M expenses for Technocity in addition to the norms.***

32. The Commission examined the arguments of the licensee regarding the normative amount approved in the regulations, 2021. The Commission had considered the revised R&M expenses based on actual escalation rate for the year 2023-24. ***Accordingly, the Commission hereby approves Rs. 416.71 lakh (Rs. 23.70 lakh + Rs. 1.37 lakh + Rs. 56.14 lakh + Rs. 335.50 lakh) as R&M expense for the year 2023-24.***

Table 20

R&M expenses approved for truing up 2023-24 (Rs lakh)

Particulars	As per Regulations	As per Truing Up Petition	Trued Up
R&M expenses	331.51	503.62	416.71

Administration and General Expenses

33. The licensee has claimed Rs. 95.36 lakh as the A&G expenses for the year 2023-24 as against the approved norm of Rs. 37.69 lakh. The major expenses booked under A&G expense are towards conveyance charges, electricity charges, security arrangements, Electricity Duty under Section 3 of the Kerala Electricity Duty Act, 1963 and license fee and other related fees. The claim includes Rs. 41.41 lakh paid towards Electricity Duty under section 3(1) of the Duty Act 1963. The details of the A&G expenses of truing up claim of current year and previous year are given below.

Table 21

A&G Expenses over the years (Rs. lakh)

Particulars	2022-23 Truing Up claim	2023-24 Truing up claim
Insurance	2.89	2.85
Telephone & Postage, etc.	0.35	0.49
Audit Fees	0.66	0.33
Conveyance Charges (Hired Vehicle for Distribution Business)	5.52	6.55
Electricity charges	12.10	12.26
Professional & Consultancy Charges	1.00	11.75
Bank Charges	1.89	3.67

Petition and other Fees to KSERC / KSEB	1.29	1.54
License Fee and related fee to KSERC	1.38	1.81
Security arrangements (1 person night duty per station)	11.73	12.32
Others Fees (To Electrical Inspectorate and KSEBL)	14.80	-
Subscription to Institution	1.18	-
Staff Training Expense	0.28	0.38
Allowance for Doubtful debts	-	-
Gross A&G Expenses	**55.07**	**53.95**
Ele. Duty u/s 3(I), KED Act	36.98	41.41
Less: Expenses Capitalised	-	-
Net A&G Expenses	**92.05**	**95.36**

34. As compared to the actual claim of previous year there is only a slight increase in A&G Expenses. Some of the major expenses are Electricity charges (Rs. 12.26 lakh), the expense towards conveyance charges (Rs. 6.55 lakh) for vehicle hired exclusively for the purpose of distribution business and is used for travelling regularly to different locations within Campuses and between campuses and professional and consultancy charges (Rs. 11.75 lakh).

35. The licensee has claimed an amount of Rs. 12.26 lakh as electricity charges. The licensee has stated that the office functions of the Electricity Distribution Business and other business activities of the Technopark is carried out from the Head Office Building called “Park Centre”. Electricity used for the administration offices are measured using separate meters. Forty percent (40%) of electricity charges for administrative offices are apportioned to the Distribution business activity. This is the same proportion taken in truing up petitions of previous years. Balance 60% is apportioned to main business activity and that amount will be revenue from sale of power for the distribution business. Regarding the claim of Rs. 12.32 lakh expenses towards providing Security Arrangements the licensee has stated that there is only a nominal 5% increase from the amount claimed during the previous year (Rs. 11.73 lakh), which was allowed in the Order on truing up for 2022-23. The professional and consultancy charges of Rs.11.75 lakh claimed is significantly higher than the previous year claim of Rs.1.00 lakh.

36. As per the details submitted with regard to professional and consultancy charges, the licensee has stated that Rs.11.75 lakh includes Rs.9.24 lakh paid to the Productivity Council for annual and periodic energy audits as per the norms of Bureau of Energy Efficiency (BEE) in the Technopark Campus, Rs.0.06 lakh towards advertisement charges and Rs.2.45 lakh is the consultancy charges paid for filing of MYT petition for ARR&ERC for 2022-27, truing up petitions for the year 2020-21 and 2021-22. The Commission is of the opinion to allow these expenses over and above the norm. Considering the amount paid for conduct of Energy audit and filing of petitions before ***the Commission, the Commission approves Rs.11.69 lakh in addition to the norms.***

37. The Commission examined the submission of the licensee and observed that, the licensee has booked Rs. 41.41 lakh towards Electricity Duty for the year 2023-24. The Commission in the previous Orders had stated that duty under Section 3 cannot be passed on to the consumers in view of the statutory provisions of the Kerala Electricity Duty Act, 1963. Hence the same is disallowed.

38. The Commission after duly ***Considering the methodology in approving the operation and maintenance expenses based on the actual escalation for the year hereby approves Rs. 49.84 lakh (Rs. 38.15 lakh + Rs. 11.69 lakh) as A&G expense for the year 2023-24.***

Summary of O&M Expenses approved for 2023-24

39. The summary of O&M expenses approved by the Commission for the year 2023-24 is shown below: -

Table 22
O&M expenses for the year 2023-24 (Rs. In lakh)

O&M Expenses	2023-24		
	As per Regulation	As per Truing Up Petition	Trued Up
Employee expenses	28.35	60.02	30.68
R&M expenses	331.51	503.62	416.71
A&G expenses	37.69	95.36	49.84
Total	**397.55**	**659.00**	**497.23**

Assets Addition

40. The licensee during the year 2023-24 had incurred a capital expenditure of Rs 402.95 lakh which is given in the table below.

Table 23
Capital expenditure during 2023-24

Project	Rs. Lakh	Commissioning
11 kV Network Revamping (Phase-1)	336.63	September 2023
SITC of 35 kWp Roof top grid connected solar plant at 110kV substation Technocity	21.93	October 2023
Solar Plant over EV station (Phase-1)	9.16	June 2023
Solar Plant 200 MW (Final Bill paid)	5.75	March 2018
Electric Vehicle (2 Nos)	3.06	March 2024
SITC of 11kV VCB & 110kV CT for substation Technopark Phase III	26.41	December 2023
Total	**402.94**	

41. The capitalized assets for FY 2023-24 include the 11 kV network revamping (Phase-I) commissioned in September 2023 (Rs. 336.63 Lakh), a 15.5 kWp solar plant over the EV station (Rs. 9.16 Lakh), and a 35 kWp rooftop solar plant at Technocity (Rs. 21.93 Lakh). A retention bill of Rs. 5.75 Lakh for the 200 kWp

solar plant commissioned in 2018 was also paid. Two electric scooters (Rs. 3.06 Lakh) were procured for operational use. Additionally, aged VCBs and a faulty CT at the 110 kV Technopark Phase-III substation were replaced at a cost of Rs. 26.41 Lakh following OEM inspection.

42. The licensee had filed a petition for approval of Capital Investment (OP 83/2023) amounting to Rs. 517.95 lakh which the Commission had considered and issued Order on 23.04.2025. The Commission had addressed the capital investments proposed and had decided on each proposal separately.

- Revamping 11 kV Power distribution system at Phase 1 - Rs.336.63 lakh

  In the petition for capital investment, the licensee for Revamping 11 kV Power distribution system at Phase 1 had proposed an estimate cost of Rs.434.24 lakh. The proposed project financing is through Government Grant of Rs.150 lakh (35%) and Technopark Equity / Bank Loans of Rs.284.26 lakh (65%). The licensee had stated that they had received Rs.74.94 lakh as grant out of the total outlay.

  Considering that the project is intended to meet the statutory requirement of n-1 contingency and for ensuring uninterrupted power supply, the Commission vide Order on 23.04.2025 in OP 83/2023 had provisionally approved the cost of Rs. 434.24 lakh as the scheme is similar in technical design used by the state utility KSEB Ltd in Thiruvananthapuram, Kochi and Kozhikode under R-APDRP Scheme. The Commission had directed the licensee to take necessary steps to avail/obtain the balance amount of the total grant already sanctioned by the Government for the purpose.

  As per the details provided in the present petition for truing up for 2023-24, the actual cost incurred for Revamping 11 kV Power distribution system is Rs.336.63 lakh which was commissioned in September 2023. The licensee had stated that the project was tendered via e-tendering, and 10 competitive bids were received. M/s Imperial Engineering Company emerged as the L1 bidder, quoting the lowest price. Considering the details submitted, the Commission approves the actual cost of Rs.336.63 lakh out of which Rs.150 lakh is grant already sanctioned by the Government for the purpose. The balance amount of Rs.186.63 lakh shall be met from the accumulated regulatory surplus/ the amount held by the licensee.

- Supply, Installation Testing and Commissioning of 35kWp rooftop grid connected solar PV plant at 110kV substation at Technocity campus – Rs. 21.93 lakh

  The licensee in the petition for approval of capital investment had proposed for the Supply, Installation, Testing and Commissioning of 35kWp rooftop grid connected solar PV plant at 110kV substation at Technocity campus at the

cost of Rs.13.63 lakh intended to meet the statutory requirement that the distribution licensees to meet the Renewable Energy Purchase Obligation (RPO). The licensee had stated that Technopark has selected the latest technology, high-efficient, high-wattage Half Cut Mono Perc Solar modules for implementation. The expense was proposed to be incurred from the own funds of Technopark.

The Commission vide Order on 23.04.2025 in OP 83/2023 on capital investment had provisionally approved the proposed cost of Rs.13.63 lakh to be met from the grant allotted by the Government as per the GO (Rt) No.91/2022/ITD dated 23.05.2022 (Rs 100 Lakh allotted for solar power plants as part of Government funding program). The Commission in the Order had directed the licensee to ensure that the costs are aligned to the benchmark rate approved by MNRE during execution and costs. It was further ordered that higher costs, if any, noticed will be disallowed at the time of truing up.

As per the details provided in the petition for truing up of accounts for 2023-24, the actual cost incurred for the SITC of 35kWp rooftop grid connected solar PV plant at 110kV substation at Technocity campus is Rs.21.93 lakh. The licensee has submitted Tax invoice of the same wherein Rs.13.71 lakh is towards Supply of 35 kWp Solar PV Grid Tie System including 35425 Wp Rayzon Mono Facial NDCR Solar Modules, Fronius Eco 27kW and Fronius SYMO 8kW Solar Inverters, Cables, Mounting Structure and Accessories. Rs.5.58 lakh is towards design and installation charges and GST amount of Rs.2.64 lakh.

Considering the details submitted, the Commission approves the actual cost of Rs.21.93 lakh to be met from grant already sanctioned by the Government for the purpose.

- <u>Installation of Solar Plant over EV station (Phase-1) – Rs.9.16 lakh</u>

The licensee had proposed for the Supply, Installation, Testing and Commissioning of Solar Plant of 15.5 kWp above Hybrid Electric Vehicle charging station, Technopark Phase 1 at an amount of Rs.6.45 lakh. The expense is proposed to be incurred from the own funds of Technopark. The licensee has stated that the investment is to meet the Renewable Purchase Obligation (RPO) specified by the State ERC.

The Commission had provisionally approved the proposed cost of Rs.6.45 lakh for SITC of Solar Plant of 15.5 kWp to be met from the grant allotted by the Government as per the GO (Rt) No.91/2022/ITD dated 23.05.2022 (Rs 100 lakh allotted for solar power plants as part of Government funding program). The Commission in the Order had directed the licensee to ensure that the costs are aligned to the benchmark rate approved by MNRE during execution and costs. It was further ordered that higher costs, if any, noticed will be disallowed at the time of truing up.

As against the claim of Rs.9.16 lakh, as per the details subsequently submitted by the licensee, the total cost incurred is Rs.9.11 lakh which includes Rs.6.28 lakh towards Supply of 15.5 kW Solar power generation system and Rs.2.83 lakh for Installation and commission of the same.

Considering the tax invoice submitted, the Commission approves the actual cost of Rs.9.11 lakh to be met from grant already sanctioned by the Government for the purpose.

- Solar Plant 200 kWp (Final Bill paid) – Rs.5.75 lakh

  The licensee in the petition for approval of capital investment plan for 2017-18 had made the proposal for approval of the SITC of 200 kWp Solar Plant. The Commission had approved an amount of Rs.1.14 crore being fully met out of grant. Now the licensee has claimed Rs.5.75 lakh, the retention bill payable for the Solar plant. Since the total amount approved by the Commission is towards the SITC of 200 kWp Solar Plant, no additional amount is approved.

- Electric Scooters (2 Nos) – Rs.3.06 lakh

  The licensee has purchased two electric scooters exclusively for the use in the power distribution business at a total cost of Rs.3.06 lakh. It is stated that the scooters facilitate day-to-day operations, including visits to substations and consumer premises within Technopark campuses. One electric scooter is dedicated to the Phase-I campus, while the other is for Phase II, Phase III and Phase IV campuses. The licensee has submitted the invoices and related documents. Considering that the vehicles are intended exclusively for the distribution business activity, the Commission approves the investment of Rs.3.06 lakh and the expenditure is to be met from the accumulated regulatory surplus/ the amount held by the licensee.

- SITC of 11kV VCB & 110kV CT for Substation Technopark Phase III - Rs. 26.41 lakh

  The licensee has stated that during this period, in the 110 kV substation at Technopark Phase-III, the existing VCBs, which are more than 10 years old, experienced operational issues. Accordingly, an inspection of all VCBs in the HT Panel was conducted through an OEM-approved agency. The agency had informed that the internal moving parts of the VCBs were damaged due to aging and normal operational wear and tear, rendering them unrepairable. It was also stated that one CT in the Transformer-2 Bay was found to be faulty. Accordingly, to ensure the reliability of the power supply, the faulty VCBs and CT were replaced with new ones. The total cost incurred by the licensee is Rs.26.41 lakh. The licensee has also stated that the cost of the old VCBs and CT has been deducted from the asset list, and the cost of the new ones has been added.

As per the split up details and invoices submitted, Rs.0.12 is towards advertisement. The Commission is of the view that such expenditure ought to have been claimed under Administration and General (A&G) expenses and cannot be capitalized as part of asset additions. Thus, the Commission hereby approves an amount of Rs.26.29 lakh (Rs.26.41 lakh-Rs.0.12 lakh) to be met from the accumulated regulatory surplus/ the amount held by the licensee.

43. ***Considering the details submitted by the licensee and the Order issued by the Commission dated 23.04.2025 (OP No.83/2023) and the provisions of Tariff regulations 2021, the Commission hereby approves the capital expenditure of Rs.397.02 lakh (Rs.215.98 lakh from grants & Rs.181.04 lakh from accumulated surplus). It is clarified that the licensee is not eligible to claim depreciation, interest on normative loan and Return on NFA on the assets created by utilizing the approved regulatory surplus or government grants. The licensee shall take necessary steps to avail/obtain the amount already allotted by the Government for the purpose.***

Depreciation

44. The depreciation claimed by the licensee in the petition for truing up for the year 2023-24 is Rs. 82.38 lakh. The licensee has stated that depreciation is calculated as per the provisions of the Tariff Regulations, 2021. Details of depreciation claimed for the year 2023-24 is given below:

Table-24
Depreciation claimed for 2023-24

Asset categories	GFA as on 1/4/2023	Asset addition during the Year	Asset deletions during the Year	GFA as on 1/4/2024	Accumulated Depreciation as on 1/4/2023	Rate	Depreciation for 2023-24	Adjustments during the year	Accumulated depreciation as on 31/3/2024	NFA at the end of the year
	Rs. lakh	Rs. lakh	Rs. lakh	Rs. lakh	Rs. lakh	%	Rs. lakh	Rs. Lakh	Rs. lakh	Rs. lakh
Land & Rights										
Civil works	188.95	0.00	0.00	188.95	86.54	3.34%	4.64	0.00	91.18	97.77
Transmission lines	2500.61	0.00	0.00	2500.61	428.86	5.28%	9.44	0.00	438.30	2062.31
Substations	4223.05	26.41	9.59	4239.88	1477.45	5.28%	59.86	6.26	1531.05	2708.83
11 kV works	154.78	336.63	0.00	491.41	67.75	5.28%	11.69	0.00	79.44	411.97
LT lines/others*	73.65	36.84	0.00	110.49	24.36	5.28%	3.47	0.00	27.83	82.66
Metering equipment	6.94	0.00	0.00	6.94	3.44	5.28%	0.24	0.00	3.68	3.26
Electrical installations	96.86	0.00	0.00	96.86	22.44	5.28%	2.85	0.00	25.29	71.57
Softwares	6.27	0.00	0.00	6.27	1.34	15.00%	0.40	0.00	1.74	4.53
Vehicles	0.00	3.06	0.00	3.06	0.00	9.50%	0.14	0.00	0.14	2.91
Total	**7251.11**	**402.94**	**9.59**	**7644.47**	**2112.18**		**92.73**		**2198.65**	**5445.81**
(Less)Assets created from Govt. grant/contributions	**612.06**			**612.06**		**5.28%**	**(10.35)**			
Depreciation for the year							**82.38**			

45. In the truing-up order for 2022-23 dated 26.03.2025, Commission approved depreciation of Rs.75.43 lakh exclusively for assets not financed through the

regulatory surplus. Accordingly, considering the GFA in line with the previous year true up Order and duly considering the asset addition made during the year, the deprecation approved for the year 2023-24 is tabulated below;

Table-25
Depreciation approved for 2023-24

Asset categories	GFA as on 1/4/2023	Asset Addition during the Year	Deletions during the year	GFA as on 1/4/2024	Accumulated depreciation as on 1/4/2023	Depreciation rate	Depreciation for the year 2023-24	Accumulated depreciation as on 31/3/2024	NFA at the end of the year
	Rs. lakh	Rs. Lakh	Rs.Lakh	Rs. lakh	Rs. Lakh	%	Rs. lakh	Rs. lakh	Rs. lakh
Land & Rights									
Civil works	188.95	0.00	0.00	188.95	86.54	3.34%	4.64	91.18	97.77
Transmission lines	2500.61	0.00	0.00	2500.61	428.86	5.28%	9.44	438.3	2062.31
Substations	4223.05	26.29	9.59	4239.75	1431.64	5.28%	42.53	1491.5	2748.38
11 kV works	154.78	336.63	0.00	491.41	67.75	5.28%	4.78	79.44	411.97
LT lines/ others*	73.65	31.04	0.00	104.69	24.36	5.28%	2.49	27.83	82.66
Metering equipment	6.94	0.00	0.00	6.94	3.44	5.28%	0.24	3.68	3.26
Electrical installations	96.86	0.00	0.00	96.86	21.68	5.28%	2.55	24.53	72.33
Softwares	6.27	0.00	0.00	6.27	1.12	6.33%	0.31	1.52	4.75
Vehicles	0.00	3.06	0.00	3.06	0.00	9.50%	0.00	0.14	2.92
Total	**7251.11**	**397.02**	**9.59**	**7638.54**	**2065.39**		**66.98**	**2158.12**	**5486.35**
(Less) Assets created from Govt.grants/ contributions (upto 2019-20)	612.06			612.06		5.28%	-32.32		
Asset addition in the year 2020-21 *Accumulated surplus : Rs. 322.11 lakh Grant : Rs. 1663.14 lakh*	1985.25								
Asset addition in the year 2021-22 *Grant : Rs. 1838.66 lakh*	1838.66								
Asset addition in the year 2023-24 *Accumulated surplus : Rs. 181.31 lakh Grant : Rs.215.71 lakh*	397.02								
Approved Depreciation							**34.66**		

46. ***Accordingly, the Commission hereby approves depreciation of Rs.34.66 lakh for the year 2023-24 as shown above.***

Interest and Finance Charges

47. The licensee for the year has claimed only interest on consumer security deposits of Rs. 123.65 lakh as part of interest and finance charges for 2023-24.

Table-26
Interest and finance charges (Rs. lakh)

Particulars	2021-22		2022-23		2023-24
	Truing Up Petition	Trued Up	Truing Up Petition	Trued Up	Truing Up Petition
Interest and finance charges on long term loans	24.96	7.87	8.96	8.50	-
Interest on consumer security deposits etc	98.80	98.80	72.70	72.70	123.65
Total	**123.76**	**106.67**	**81.66**	**81.20**	**123.65**

Interest on Loan

48. The licensee has stated that Technopark has completely repaid closed all outstanding capital loans so far taken. There is no additional loan taken during the year. Hence there was no actual loan repaid or interest paid during the year.

Interest on normative loan

49. As per Regulation 29 of the Kerala State Electricity Regulatory Commission (Terms and Conditions for Determination of Tariff) Regulations, 2021 that if there is no actual loan for a particular financial year of the Control Period but normative loan is still outstanding, the rate of interest on the last available loan shall be considered for the calculation of interest on normative loan. The relevant portion of Regulations is shown below.

29. Interest, Finance charges and Carrying cost. –

(1) The loans arrived at in the manner indicated in Regulation 26 shall be considered as gross normative loan for calculation of interest on the loans:

Provided that the interest and finance charges on capital works in progress shall be excluded from such consideration and will not be considered in the ARR and truing up processes:

Provided further that in case of retirement or replacement of the assets, the normative loan amount approved by the Commission shall be reduced to the extent of outstanding loan component of the original value of the retired or replaced assets; based on documentary evidence

(2) The normative loan outstanding as on the first day of April, 2022, shall be worked out by deducting the amount of cumulative repayment as approved by the Commission upto the thirty first day of March, 2022, from the normative loan.

(3) Notwithstanding any moratorium period availed by the generating business/ company or the transmission business/ licensee or the distribution business/ licensee, the repayment of loan shall be considered from the first financial year of the declaration of the commercial operation date of the project and shall be equal to the depreciation allowed for that financial year.

(4) The rate of interest allowed shall be the weighted average rate of interest calculated on the basis of the actual loan portfolio at the beginning of each financial year applicable to the generating business/ company or the transmission business/ licensee or the distribution business/ licensee or State Load Despatch Centre:

Provided that if there is no actual loan for a particular financial year of the Control Period but normative loan is still outstanding, the rate of interest on the last available loan shall be considered:

Provided further that if the generating business/ company or the transmission business/ licensee or the distribution business/ licensee or State Load Despatch Centre does not have any actual loan outstanding, but normative loan is outstanding, then interest shall be allowed at the base rate.

(5) The interest on loan shall be calculated on the normative average loan as per the norms approved by the Commission for the financial year, by applying the weighted average rate of interest.

50. Considering the above provisions, the weighted average interest rate of the last available loans was 8.49%, as calculated by the licensee in the previous year, as shown below.

Table 27
Weighted Average Interest for the year 2022-23

No	Bank	Period of year	Rate %	Days	Weighted Rate
1	South India Bank	01-04-2022 to 01-06-2022	8.25	62	511.50
2	South India Bank	02-06-2022 to 01-12-2022	8.20	183	1500.60
3	South India Bank	02-12-2022 to 31-03-2023	8.95	120	1074.00
4	Federal Bank	01-04-2022 to 15-09-2022	8.30	168	1394.40
5	Federal Bank	16-09-2022 to 31-03-2023	8.70	197	1713.90
6	**Total**			**730**	**6194.40**
	Weighted Average Interest Rate (%)		**6194.4/730 =**		**8.49**

51. Considering the above interest rate the interest on normative loan for the year 2023-24 is worked out as shown below:

Table 28
Interest on normative loan for the year 2023-24 (Rs. In lakh)

No.	Particulars	2023-24
1	Opening Normative loan	62.36
2	Add. Asset addition Particulars for the year	-
3	Less: Depreciation for the year	34.66
4	Closing Normative Loan	27.70
5	Average Loan	45.03
6	Rate of Interest (%)	8.49%
7	Interest charges allowable for Asset additions (5*6)	**3.82**

52. ***As per the above table the Commission hereby approves Rs.3.82 lakh as interest on normative loan for the year 2023-24.***

Interest on security deposits

53. The interest on security deposits paid to the consumers for the year 2023-24 as claimed by the licensee amounts to Rs.123.65 lakh as against the ARR&ERC approved amount of Rs. 76.11 lakh. ***The Commission hereby approves the actual amount of Rs.123.65 lakh paid by the licensee as interest on security deposits for the year 2023-24.***

Interest on working capital

54. The petitioner states that the working capital requirement has increased to Rs. 1168.90 lakh due to higher sales, compared to Rs.1007.87 lakh and Rs.765.44 lakh in the previous two years. The consumer deposit in cash is Rs.1948.77 lakh, which was sufficient to cover the working capital requirement. ***Therefore, there were no additional borrowings required for working capital. Hence no interest on working capital is claimed by the licensee.***

Return on Net Fixed Assets

55. The licensee has claimed Return on NFA of Rs. 90.04 lakh for the year 2023-24 as shown below.

Table 29
Return on NFA claimed for 2023-24

Particulars	(Rs Lakh)
Net Fixed Assets net of Consumer Contribution & Grants (at the beginning of the year)	1637.13
Rate of return	5.50%
Total return on net fixed assets	**90.04**

56. As per Regulation 28(2) of the Tariff Regulations 2021, if there is no equity invested in the business or equity invested in the regulated business of the distribution licensee is not clearly identifiable, return at the rate of 5.50% shall be allowed on the net fixed assets at the beginning of the financial year for such regulated business. Accordingly, RoNFA at the rate of 5.50% on the net fixed assets for the year 2023-24 is as shown below:

Table 30
Return on NFA for the year 2023-24 (Rs. In lakh)

Particulars	2023-24
NFA (Net of consumer contributions and grants at the beginning of the year)	678.35
Less: NFA considered for normative loan	45.03
Net NFA for RoNFA	633.32
Rate of return (%)	5.50%
Total return on NFA	**34.83**

57. ***The Commission hereby approves Rs.34.83 lakh as RoNFA for the year 2023-24 as against Rs.90.04 lakh claimed by the licensee.***

Collection Efficiency

58. The licensee has claimed that they have taken best effort to keep all the meters in accurate working order. The defective meters are replaced when the defects are noticed. The collection efficiency in the year 2023-24 is 95.46%. The licensee also states that (1) there is no large long-standing arrears from the consumers and (2) that surcharge is levied promptly for delay in payment. ***The Commission directs that licensee shall keep all records as per the relevant Tariff Regulations and also maintain the collection efficiency up to the optimum level for the smooth running of distribution business.***

Revenue from Sale of Power

59. The total revenue for the year 2023-24 is Rs.6683.88 lakh from the sale of 744.05 lakh units. The sale and the revenue realised is higher compared to that of 2022-23. During 2022-23, the total revenue realised was Rs.5750.11 lakh from the sale of 643.34 lakh units. The details of revenue from sale of power are shown in below table.

Table 31
Revenue from sale of Power for the year 2023-24

Particulars	Number of consumers	Sale Lakh Units	% of total Unit sold	Revenue Rs lakh	Avg. realisation per KWh
LT – IV B IT/ITES below 10kW	208	11.85	3.46%	81.32	6.86
LT – IV B IT/ITES above 10kW up to 20kW	65	8.45	2.47%	70.85	8.38

LT – IV B IT/ITES above 20kW	239	260.90	76.22%	2,506.16	9.61
LT - VI (A) General	2	0.36	0.10%	3.08	8.66
LT VI (B) General	9	0.71	0.21%	6.67	9.37
LT VI (c) General (1ph or 3 ph)	33	2.46	0.72%	26.79	10.90
LT VI (F) General (1 ph)	58	0.82	0.24%	7.52	9.17
LT VII (A) Commercial (1-Ph)	50	0.53	0.15%	5.20	9.89
LT VI (F) General (3 ph)	172	41.96	12.26%	464.86	11.08
LT VII (A) Commercial (3-Ph)	51	5.09	1.49%	61.46	12.07
LT VII (B) Commercial	11	0.04	0.01%	0.28	7.53
LT IV A Industrial below 10 KW	6	0.23	0.07%	1.43	6.20
LT IV A Industrial above 10 KW below 20 KW	4	0.60	0.17%	4.15	6.94
LT IV A Industrial above 20 KW	7	3.14	0.92%	29.84	9.50
LT VI (G) General	1	0.05	0.02%	0.57	10.63
LT IX Display Lighting and Hording	2	0.05	0.02%	0.85	15.58
LT-X Electric Vehicles Charging stations	1	0.25	0.07%	1.70	6.89
Self-Consumption	3	3.38	0.99%	30.66	9.07
Street Lighting	18	1.41	0.41%	6.86	4.86
Sub Total (LT)	**940**	**342.29**	100.00%	**3,310.29**	9.67
HT -I (B) IT & IT Services	18	356.39	88.71%	2,988.89	8.39
HT -II (A) General	2	14.11	3.51%	105.99	7.51
HT II B	3	26.81	6.67%	220.00	
HT- IV Commercial	1	4.45	1.11%	43.73	9.83
Sub Total (HT)	**24**	**401.76**	100.00%	**3,358.60**	8.36
Grand Total	**964**	**744.05**		**6,668.88**	8.96
Electricity Duty Recovery				393.57	
Gross Revenue from Sale of Power				7,062.46	
Less: Electricity Duty Payable to Govt. plus commission (Contra Entry)				378.58	
Net Revenue from Sale of Power				**6,683.88**	

60. The major revenue is realised from LT IV B and HT I category of consumers The average revenue realized per unit has increased to Rs.8.96 compared to Rs.8.93 realized in the previous year. ***After examining the details furnished by the licensee, the Commission hereby approves the revenue from sale of power at Rs. 6683.88 lakh for the purpose of Truing Up of Accounts for the year 2023-24.***

Non-Tariff Income

61. The non-tariff income accounted by the licensee for the year 2023-24 is Rs. 148.43 lakh which is higher than that of the previous year. The split-up details of non-tariff income claimed are shown below.

Table 32
Comparison of Non-Tariff Income (Rs. lakh)

Particulars	2022-23	2023-24
	Truing Up Petition	Truing Up Petition
Interest on investments, FD, Call Deposits & bank balances	41.02	89.12
Miscellaneous receipts	7.36	2.32
Commission for collection of electricity duty	2.47	3.65
Revenue from late payment surcharge	27.24	53.33
Total	**78.09**	**148.43**

62. The Commission has examined the details of non-tariff income furnished by the licensee. The licensee has booked Rs. 89.12 lakh towards income from bank deposits. The cumulative surplus till 2022-23 is Rs. 3367.92 lakh. The interest on the revenue surplus is approved at the rate of 6.80% per annum (the retail term deposit rate of SBI for a tenor of one year as on 01-04-2023) which worked out to Rs. 229.02 lakh (Rs. 3367.92 lakh x 6.80%). As the licensee has already accounted Rs. 89.12 lakh as interest from bank, the balance amount of Rs. 139.90 lakh (Rs. 229.02 lakhs – Rs. 89.12 lakh) is treated as additional income under the head non-tariff income. ***Accordingly, the Commission approves the non-tariff income of the licensee for the year 2023-24 as Rs. 288.33 lakh (Rs. 148.43 lakh + Rs. 139.90 lakh) as against Rs. 148.43 lakh claimed in the petition.***

Revenue Surplus/Gap for 2023-24

63. Based on the above, the approved expenditure and revenue for the year 2023-24 after truing up is as shown below.

Table 33
Trued Up Income and Expenditure for the Year 2023-24 (Rs. lakh)

Particulars	ARR & ERC Approved	Petition for truing up	Trued Up
Cost of power purchase/ generation	5919.11	5549.13	5508.00
Employee Expenses	28.35	60.02	30.68
Administration and General	37.69	95.36	49.84
Repairs and Maintenance	331.51	503.62	416.71
Depreciation	142.60	82.38	34.66
Interest on long term loans	7.87	-	3.82
Interest on consumer deposits	76.11	123.65	123.65
Return on Net Fixed Assets	21.07	90.04	34.83
Total Expenditure/ARR	**6564.31**	**6504.21**	**6202.19**
Revenue from sale of power	6766.84	6683.88	6683.88
Non-tariff income	157.31	148.43	288.33
Total Revenue / ERC	**6924.15**	**6832.31**	**6972.21**
Net Revenue Surplus/(Deficit)	**359.84**	**328.09**	**770.02**

Orders of the Commission

64. The Commission after considering the petition filed by M/s.Technopark for Truing up of accounts for the year 2023-24, and the clarifications and details provided by the licensee approves the following.

    a) **Total revenue is Rs.6972.21 lakh.**

    b) **Total expenditure is Rs.6202.19 lakh**

    c) **The revenue surplus for the year is Rs.770.02 lakh**

    d) **The accumulated revenue surplus up to 2022-23 is Rs.3367.92 lakh. Total cumulative revenue surplus till 2023-24 will be Rs.3,815.83 lakh (Rs. 3367.92 lakh accumulated surplus till 2022-23+ Rs.770.02 lakh surplus for the year 2023-24 – Rs.322.11 lakh assets created out of accumulated surplus till 2022-23).**

65. The petition is disposed of. Ordered accordingly.

Sd/-	Sd/-	Sd/-
Sri. T.K Jose	**Adv. A. J. Wilson**	**Sri. B. Pradeep**
Chairman	**Member**	**Member**

Approved for issue

Sd/-

Mohanakumar B V

Secretary(i/c)